



ZESA HOLDINGS (PRIVATE) LIMITED

INTERNAL CORRESPONDENCE

From : Head Corporate Services (A) **At :** ZESA Holdings
To : Addressees Below **At :** Various
Date : 27 June 2023 **Ref:** 115/8/2/SD/bm
Subject: REVIEW OF POLICY NO. 23

Attached is the revised Policy No.23 with regards to energy allowance with effect from 1st July 2023.

Please implement the revised policy accordingly.

F. CHIBASA (MRS)
HEAD CORPORATE SERVICES (A)

Addressees

Group Financial Controller

Managing Director (A)	-	ZPC
Managing Director (A)	-	ZETDC
Managing Director (A)	-	ZENT
Managing Director (A)	-	Powertel

cc: Senior Manager (Human Resources) (A)	-	ZPC
Senior Manager (Human Resources) (A)	-	ZETDC
Human Resources Manager	-	ZENT
Human Resources Manager	-	Powertel

ZESA HOLDINGS (PVT) LTD 	Human Resources Policy Number	Z/H Human Resources Policy No.23
	Document Type	Electricity & Energy allowance
	Effective Date	01 July 2023
	Next Review Date	-
	Responsible Office	Head: Corporate Services
	Approving Authority	ZESA Holdings (Pvt) Ltd Board

OBJECTIVE

The objective of this policy is to set the limits on the electricity and energy allowance that can be offered to members of staff and/or pensioners. The electricity and energy allowance are taxable benefits and tax is borne by the employee or pensioner.

1. ELECTRICITY ALLOWANCE

- a)
 - (i) All permanent employees of ZESA Holdings and its subsidiaries who are, in their own right, electricity consumers will be entitled to be electricity allowance.
 - (ii) The account must be in the name of the employee, but a joint account in the name of his/her wife/husband is acceptable.
 - (iii) Only one residential property qualifies for the electricity benefit.
- b) ZETDC should be provided with details of all permanent staff who are entitled to the benefit and their points of supply. ZETDC is required to send consolidated schedules of consumption to the relevant companies for payment. Payment of such bills shall be in the form of cash or set off where possible.
- c) Where employees are billed for electricity consumed by a ZESA subsidiary company
 The Consumer Ledger Account will be debited at the appropriate tariff rate for all units consumed, and credited with a like sum, provided the charge does not exceed the maximum electricity allowance specified in the annexure to this policy. When an employee exceeds the electricity benefit limit, the excess charge should be recovered by the Company.
- d) Where employees receive un-metered or Load Limited Supplies
 The quantum of the available supply/load limit will be converted to the corresponding kWh and this will be valued at the appropriate tariff.

2. ELECTRICITY ALLOWANCE FOR PENSIONERS RESIDENT IN ZIMBABWE

- a) All pensioners of ZESA Holdings or its subsidiary companies who are, in their own right, electricity consumers will be entitled to electricity allowance of up to a maximum amount as specified in the annexure to this policy, on the following conditions: -
 - i) A Pensioner or Retiree refers to an employee who retires from ZESA Holdings or its subsidiary Company at age 55 years or above immediately after active service.
 - ii) The pensioner must have retired at the age of 55 years or more and must be in receipt of a pension from the date of retirement.
 - iii) The account must be in the name of the pensioner but a joint account in the name of his/her spouse is acceptable.

- iv) The pensioner must have been employed by ZESA or a ZESA subsidiary company as a permanent employee and must be resident in Zimbabwe.
- v) General Managers are authorised to provide Pensioners with electricity tokens subject to the following:
 - Maximum issue of 1596 kWh per month.
 - A letter from the ZESA Pensions Fund Manager confirming the identity of the Pensioner and property address. The Pension Fund Manager should submit a schedule of Pensioners by location to be used to verify eligible pensioners in subsequent months.
 - The letter of introduction from the Pension Fund shall be renewed at the beginning of every year.
 - The General Manager will be required to generate invoices with schedules of Pensioners attached for submission to subsidiary companies for payment.
 - The invoices are to be settled within a period of fourteen (14) days.
- b) All employees and pensioners of ZESA or a ZESA subsidiary company, resident in Zimbabwe, who retired and who are not consumers of electricity will be paid energy allowance of ZWL\$691 292.00 month.

3. ENERGY ALLOWANCE

- (i) All permanent staff who are not, in their own right, electricity consumers and permanent employees who are not provided with either electric cooking facilities or energy for cooking will be entitled to the energy allowance specified in the annexure to this policy.
- (ii) Under no circumstances may the energy allowance be claimed in addition to the electricity allowance.

The cost of electricity or energy allowance for pensioners is borne by the former employer.

ZESA HOLDINGS (PVT) LTD
CORPORATE SERVICES DEPT
25 SAMORA MACHEL AVENUE
P O BOX 377 HARARE
ZIMBABWE
TELEPHONE 749310

ANNEXURE TO HUMAN RESOURCES POLICY NO.231. Maximum Electricity Allowance(a) Employees On Metered Supplies

Cost of production of up to 1596Kwh consumption

N.B. The amount is in accordance with the billing rates for staff, calculated on cost borne by the employer and is based on maximum consumption of 1596Kwh which will, in future, be used as the basis for adjusting the allowance automatically when cost of production changes.

(b) Employees On Un-Metered Or Load Limited Supplies

Permanent employees, pensioners and retirees on gratuity will benefit the total cost of the load limited supply at their property. This allowance, will in future be used as the basis for adjusting the allowance automatically when cost of production changes.

2. Energy Allowance

- All permanent members of staff, pensioners and retirees on gratuity who are not, in their own right, electricity consumers shall be entitled to an energy allowance of ZWL\$691 292.00 per month with effect from 1st July 2023.

N.B. The allowance is to be reviewed in the event of the electricity tariff adjustment.

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CORPORATE SERVICES DEPT
25 SAMORA MACHEL AVENUE
P O BOX 377 HARARE
ZIMBABWE
TELEPHONE 740211